6-7a Retail Method of Inventory Costing

The **retail inventory method** (A method of estimating inventory cost that is based on the relationship of cost to retail price.) of estimating inventory cost requires costs and retail prices to be maintained for the merchandise available for sale. A ratio of cost to retail price is then used to convert ending inventory at retail to estimate the ending inventory cost.

The retail inventory method is applied as follows:

Step 1.

Determine the total merchandise available for sale at cost and retail.

Step 2.

Determine the ratio of the cost to retail of the merchandise available for sale.

Step 3.

Determine the ending inventory at retail by deducting the sales from the merchandise available for sale at retail.

Step 4.

Estimate the ending inventory cost by multiplying the ending inventory at retail by the cost to retail ratio.

Exhibit 13 illustrates the retail inventory method.

Exhibit 13

Determining Inventory by the Retail Method

		A	B	C
	1		**Cost**	**Retail**
	2	Inventory, January 1	$19,400	$ 36,000
	3	Purchases in January (net)	42,600	64,000
Step 1 →	4	Merchandise available for sale	$62,000	$100,000
Step 2 →	5	Ratio of cost to retail price: $\frac{\$62{,}000}{\$100{,}000} = 62\%$		
	6	Sales for January		70,000
Step 3 →	7	Inventory, January 31, at retail		$ 30,000
Step 4 →	8	Inventory, January 31, at estimated cost		
	9	($30,000 × 62%)		$ 18,600
	10			

When estimating the cost to retail ratio, the mix of items in the ending inventory is assumed to be the same as the merchandise available for sale. If the ending inventory is made up of different classes of merchandise, cost to retail ratios may be developed for each class of inventory.

An advantage of the retail method is that it provides inventory figures for preparing monthly statements. Department stores and similar retailers often determine gross profit and operating income each month but may take a physical inventory only once or twice a year. Thus, the retail method allows management to monitor operations more closely.

The retail method may also be used as an aid in taking a physical inventory. In this case, the items are counted and recorded at their retail (selling) prices instead of their costs. The physical inventory at retail is then converted to cost by using the cost to retail ratio.